OVERVIEW

The Organizational Context: Strategy, Structure, and Culture

Projects don't happen in a vacuum: three features of the parent organization shape how they are run. Strategy: strategic management formulates, implements and evaluates decisions, and projects are how strategy gets implemented; stakeholders inside and outside the organization pull projects in different directions. Structure: functional, project and matrix organizations (and heavyweight project teams), each with strengths and weaknesses for projects, plus the PMO's levels, forms and models. Culture: the unwritten rules of behavior, what shapes them, and the four ways they affect project management.

Projects implement strategy

Strategic management = formulate, implement and evaluate cross-functional decisions; projects (new plants, products, IT) carry the strategy out.

Three structures

Functional = grouped by similar activities (deep expertise, silos). Project = temporary project teams (fast, expensive). Matrix = dual hierarchy (coordination, two bosses).

PMO

Levels 1–3 (project → business unit → corporate); forms by control (supportive, controlling, directive); models by purpose (weather station, control tower, resource pool).

Culture

Unwritten rules of behavior, shared by a subset, taught to newcomers; affects departmental interaction, commitment, planning and performance evaluation.

HOW THE LECTURE IS ORGANIZED

Slides 1–5 Strategy: strategic management, projects reflect strategy, the A380

Slides 6–8 Stakeholder management: internal and external stakeholders

Slides 9–18 Structure: functional, project, matrix and heavyweight organizations

Slides 19–22 Project management offices: levels, forms, models

Slides 23–25 Organizational culture and its effects on projects

EXAM FOCUS

The instructor's 2026 midterm asked three questions from this deck: how employees are grouped in a functional organization, what describes a project organization, and the main purpose of strategic management. Finals asked about the PMO (Final 242) and how PM helps achieve strategic objectives (Final 251); the Midterm 251 case asked which team structure you would set up.

HOW TO READ THIS PAGE

Every original slide is shown unchanged. Yellow marks on a slide point to a numbered note: hover or tap a mark to jump to its note, and hover a note to see its marks. Questions tagged Past exam appeared on a real paper; Prediction questions are likely angles, not confirmed. Pick an answer to each question: a wrong pick tells you why it is wrong, so you can try again.

Chapter 2

The Project Management and Software Engineering Process context:

The Organizational Context: Strategy, Structure, and Culture

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NOTES

1 This chapter (from Pinto's *Project Management*) looks at the three organizational features that shape how projects are run: **strategy** (why projects exist), **structure** (who reports to whom and how resources are shared) and **culture** (the unwritten rules people follow).

Projects and Organizational Strategy

Strategic management: the science of formulating, implementing, and evaluating **cross-functional decisions** that enable an **organization** to achieve its **objectives**.

Consists of:

- Developing vision and mission statements
- Formulating, implementing, and evaluating
- Making cross-functional decisions
- Achieving objectives

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NOTES

1. **Strategic management** is the science of **formulating, implementing and evaluating cross-functional decisions** that enable an organization to achieve its objectives. Cross-functional matters: strategy cuts across departments, and so do the projects that carry it out.
2. It starts by developing **vision and mission statements**, then formulates, implements and evaluates strategies, making cross-functional decisions along the way...
3. ...all aimed at **achieving the organization's objectives**.

EXAM ANGLE

Past exam · Midterm 261 · MCQ Q1

What is the main purpose of strategic management?

A **To formulate, implement, and evaluate decisions that help achieve organizational objectives**

> The slide's definition: formulating, implementing and evaluating cross-functional decisions to achieve objectives.

B To manage employees' daily activities only

C To eliminate all organizational risks

D To focus only on project costs

SLIDE 3 / 25 **Table 2.1 Projects Reflect Strategy**

Table 2.1 Projects Reflect Strategy

Strategy	Project
Technical or operating initiatives (such as new distribution strategies or decentralized plant operations)	Construction of new plants or modernization of facilities
Development of products for greater market penetration and acceptance	New product development projects
New business processes for greater streamlining and efficiency	Reengineering projects
Changes in strategic direction or product portfolio reconfiguration	New product lines
Creation of new strategic alliances	Negotiation with supply chain members (including suppliers and distributors)
Matching or improving on competitors' products and services	Reverse engineering projects
Improvement of cross-organizational communication and efficiency in supply chain relationships	Enterprise IT efforts
Promotion of cross-functional interaction, streamlining of new product or service introduction, and improvement of departmental coordination	Concurrent engineering projects

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NOTES

1. The table's point: **projects are how strategy gets implemented**. Each strategic intention on the left becomes a type of project on the right.
2. A strategy of greater market penetration becomes **new product development** projects; a strategy of more efficient business processes becomes **reengineering** projects; operating initiatives become new or modernized plants.
3. Matching competitors' products becomes **reverse engineering**; better cross-organization communication in the supply chain becomes **enterprise IT** efforts; better departmental coordination becomes concurrent engineering. Pick one or two rows as examples when explaining how PM supports strategy.

EXAM ANGLE

Past exam · Final 251 · Q1.1 Q1

How does project management contribute to organizations in achieving their strategic objectives? Please elaborate.

Answer: Strategy is carried out through projects. Project management selects and prioritizes projects (through portfolios and programs) so they align with strategic objectives, then delivers them so the outputs create the intended outcomes, benefits and value. It uses limited resources efficiently, controls scope, time and cost, and manages risk and change. That lets the organization reach its goals and respond to its market faster than competitors.

Strategy example: the Airbus A380



What went wrong with the A380? The aircraft itself features cutting edge technology, has modern conveniences (Emirates offers its first-class passengers on-board showers and a fully stocked bar and lounge area), and is popular with travelers. Unfortunately, its design has also led to several ancillary problems. For example, because the airplane is so large, it requires a longer-than-average runway for takeoffs and landings. Furthermore, the two-decker configuration requires airports to redesign and install special jet bridges and entrance/exit gates to allow for double lines of passengers boarding and leaving the aircraft. These redesigns have proven to be unpopular with many airports that refuse to make the necessary modifications. When the A380 was first introduced in the United States, only eight airports had taxiways wide enough and parking ramps large enough to accommodate the plane. Interestingly, the sheer size of the aircraft also creates operational hazards for other flights landing or taking off behind it. As one writer put it, "The A380 is basically a flying weather system, with its 261-foot wings throwing off hurricane-strength winds. Under current international guidelines, smaller aircraft need a seven-mile gap between themselves and the A380." By comparison, some airports that handle smaller jets can space them as little as 2.5 miles apart. The arrival and departure of multiple A380s can slow flight operations at some of the busiest airports in the country.

What went wrong for the A380? Much of the blame rests on the strategic decisions taken by Airbus and its view of the future of global aviation. At the beginning of the millennium, Airbus and Boeing looked where their business was heading and saw similar facts: air traffic doubling every 15 years, including estimates that the number of travelers would hit four billion by 2020—and came to radically different conclusions for the future. For Airbus there was need for much bigger planes for sustainable growth at congested airports. For Boeing, medium-sized wide-body jets best matched future globalization pressures and anticipated higher frequency of travel among major and multiple growing cities.

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NOTES

1. The **Airbus A380** case: what went wrong was mainly **strategic**, not execution.
2. Airbus and Boeing saw the same facts (air traffic doubling every 15 years). Airbus concluded the future needed **much bigger planes** to serve congested hub airports, and built the A380.
3. Boeing concluded that **medium-sized wide-body jets** flying directly between more cities fitted the future better, and the market followed Boeing. Lesson: a project can be well run and still fail if the strategy behind it is wrong.

Projects and Organizational Strategy

Projects and Organizational Strategy

Strategic management consists of the following elements

1. ***Developing vision statements and mission statements.*** Vision and mission statements establish a sense of what the organization hopes to accomplish or what top managers hope it will become at some point in the future.
2. ***Formulating, implementing, and evaluating.*** Projects, as the key ingredients in strategy implementation, play a crucial role in the basic process model of strategic management. A firm devotes significant time and resources to evaluating its business opportunities through developing a corporate vision or mission, assessing internal strengths and weaknesses as well as external opportunities and threats, establishing long-range objectives, and generating and selecting among various strategic alternatives
3. ***Making cross-functional decisions.***
4. ***Achieving objectives.***

TOWS Matrix

	External Opportunities (O) 1. 2. 3.	External Threats (T) 1. 2. 3.
Internal Strengths (S) 1. 2. 3.	SO *"Maxi-Maxi" Strategy* Develop projects that use strengths to maximize opportunities	ST *"Maxi-Mini" Strategy* Develop projects that use strengths to minimize threats
Internal Weaknesses (W) 1. 2. 3.	WO *"Mini-Maxi" Strategy* Develop projects that minimize weaknesses by taking advantage of opportunities	WT *"Mini-Mini" Strategy* Develop projects that minimize weaknesses and avoid threats

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NOTES

1. **Vision and mission statements** state what the organization hopes to accomplish or become.
2. **Formulating, implementing and evaluating**: projects are the **key ingredients in strategy implementation**. The firm evaluates opportunities by setting its vision, assessing internal strengths and weaknesses and external opportunities and threats, setting long-range objectives, and choosing among alternatives.
3. **Cross-functional decisions** and **achieving objectives** complete the process.
4. The **TOWS matrix** turns SWOT into strategies: SO (use strengths to seize opportunities), ST (use strengths against threats), WO (overcome weaknesses using opportunities), WT (minimize weaknesses and avoid threats).

EXAM ANGLE

Prediction Q1

In a TOWS matrix, a strategy that uses internal strengths to take advantage of external opportunities is called:

A ST

B WO

C SO

D WT

SLIDE 6 / 25 **Stakeholder Management**

Stakeholder Management

Organizations and project teams cannot operate in ways that ignore the external effects of their decisions. One way to understand the relationship of project managers and their projects to the rest of the organization is through employing stakeholder analysis.

Stakeholder analysis is a useful tool for demonstrating some of the seemingly irresolvable conflicts that occur through the planned creation and introduction of new projects.

Project stakeholders are defined as all individuals or groups who have an active stake in the project and can potentially impact, either positively or negatively, its development.

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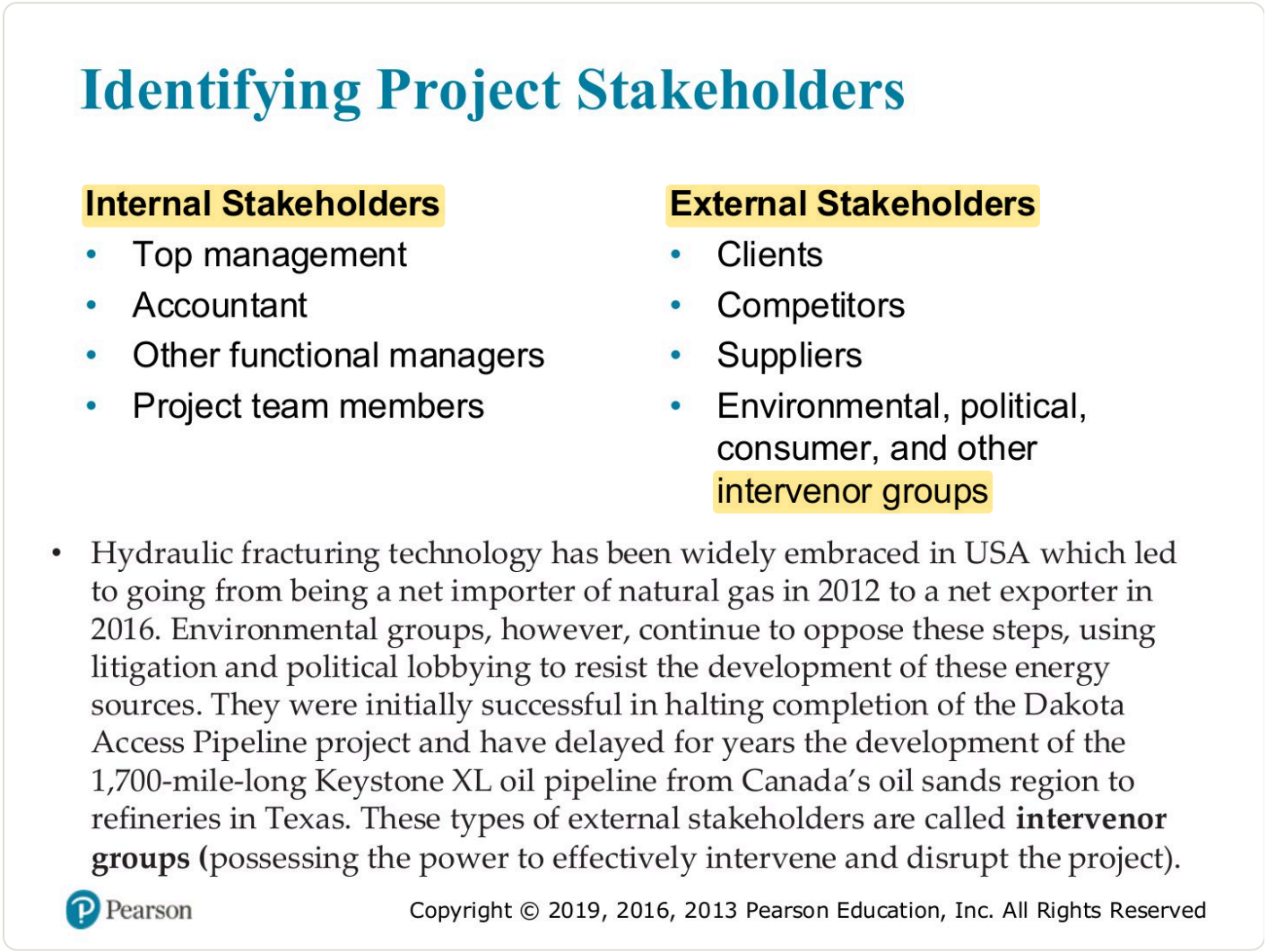
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NOTES

1 Organizations and project teams can't ignore the **external effects** of their decisions.

2. **Stakeholder analysis** shows how the PM and the project relate to the rest of the organization...
3. ...and exposes the seemingly **irresolvable conflicts** that new projects create (a new system that helps sales may burden operations).
4. **Project stakeholders**: all individuals or groups with an **active stake** in the project who can affect its development positively or negatively.

SLIDE 7 / 25 **Identifying Project Stakeholders**



NOTES

1. **Internal stakeholders**: top management, the accountant, other functional managers, project team members.
2. **External stakeholders**: clients, **competitors**, suppliers, and environmental, political, consumer and other intervenor groups.
3. **Intervenor groups** are external groups with the power to intervene and disrupt a project. Environmental groups used lawsuits and lobbying to halt the Dakota Access Pipeline and delay the Keystone XL pipeline for years.

EXAM ANGLE

Past exam · Midterm 251 · V1 · Case Q3 Q1

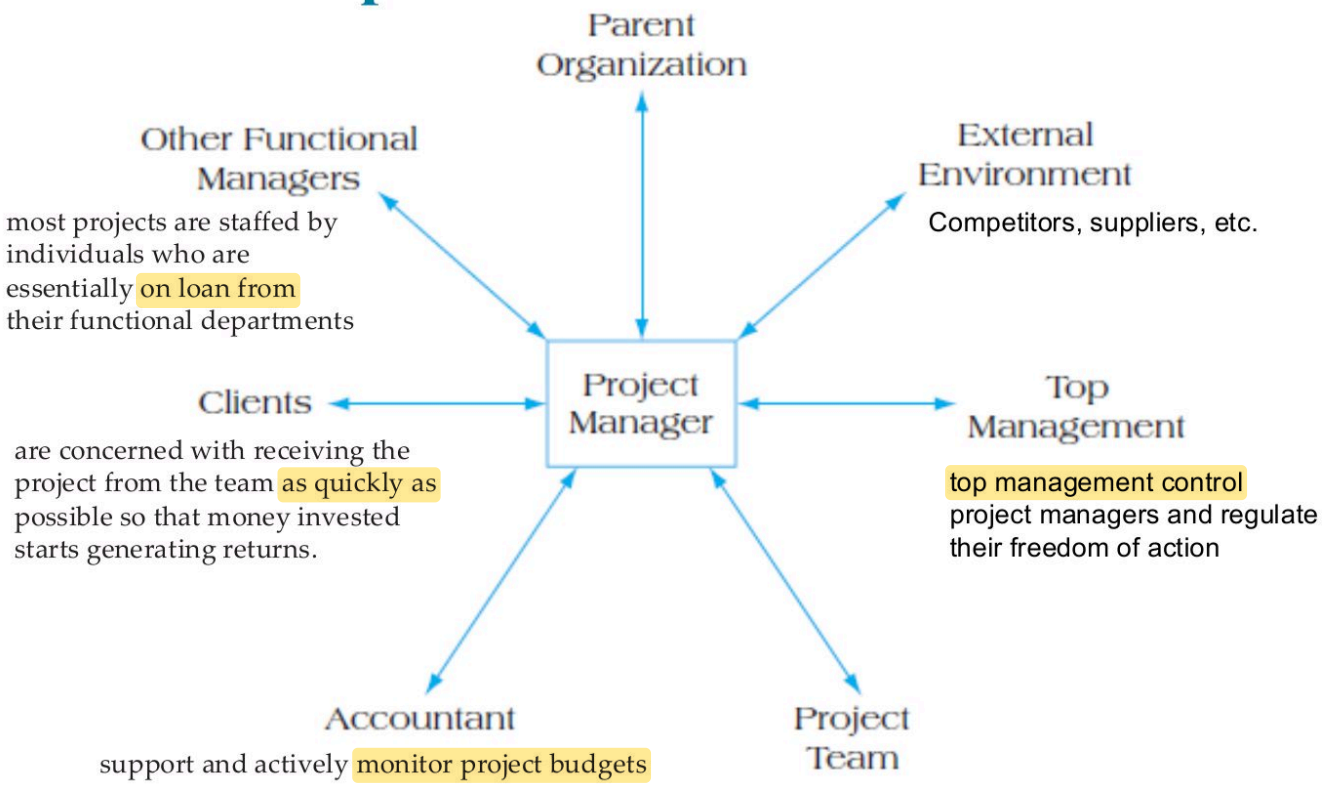
Edugate scheduling system: identify three main stakeholder groups for this project, describe their roles, and explain how their input will shape the system.

Answer: Students are the end users; their input shapes usability and flexibility (0.3). The IT/Edugate team ensures integration, security and compliance with PSU IT policies (0.3). Faculty advisors and administration ensure study-plan rules are enforced and use the system to monitor students (0.4).

SLIDE 8 / 25

Figure 2.3 Project Stakeholder Relationships

Figure 2.3 Project Stakeholder Relationships



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NOTES

1. What each stakeholder wants. **Functional managers**: most project staff are **on loan** from their departments, so functional managers want their people back and their own work protected.
2. **Clients**: receive the project **as quickly as possible** so their investment starts generating returns.
3. **Top management**: support the project but **control** project managers and regulate their freedom of action.
4. **Accountants**: support and actively **monitor project budgets**. The PM sits in the middle, balancing all of them.

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Organizational Structure

Consists of three key elements:

1. Designates formal reporting relationships, Who reports to whom?
   - number of levels in the hierarchy
   - span of control
2. Identifies groupings of
   - individuals into departments
   - departments into the total organization
3. Design of systems to ensure
   - effective communication
   - coordination
   - integration of effort across departments

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NOTES

1. **Organizational structure** has three elements. (1) **Formal reporting relationships**: who reports to whom, how many levels the hierarchy has, and each manager's **span of control** (how many people report to them).
2. (2) **Groupings**: individuals into departments and departments into the organization.
3. (3) **Systems** that ensure effective communication, coordination and **integration of effort** across departments. Projects cut across departments, so this third element is where they succeed or struggle.

Forms of Organization Structure

- **Functional organizations**—group people performing similar activities into **departments**
- **Project organizations**—group people into **project teams** on temporary assignments
- **Matrix organizations**—create a dual hierarchy in which **functions and projects** have equal prominence

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NOTES

1. **Functional** organizations group people who perform **similar activities** into departments (marketing, finance, engineering).
2. **Project** organizations group people into **project teams on temporary assignments**.
3. **Matrix** organizations create a **dual hierarchy** in which functions and projects have equal prominence: staff report to both a functional manager and a project manager.

EXAM ANGLE

Past exam · Midterm 261 · MCQ Q1

How are employees grouped in a functional organization?

A According to similar activities or functions

B According to temporary project assignments only

C According to their personal interests

D Randomly across the organization

Past exam · Midterm 261 · MCQ Q2

Which statement best describes a project organization?

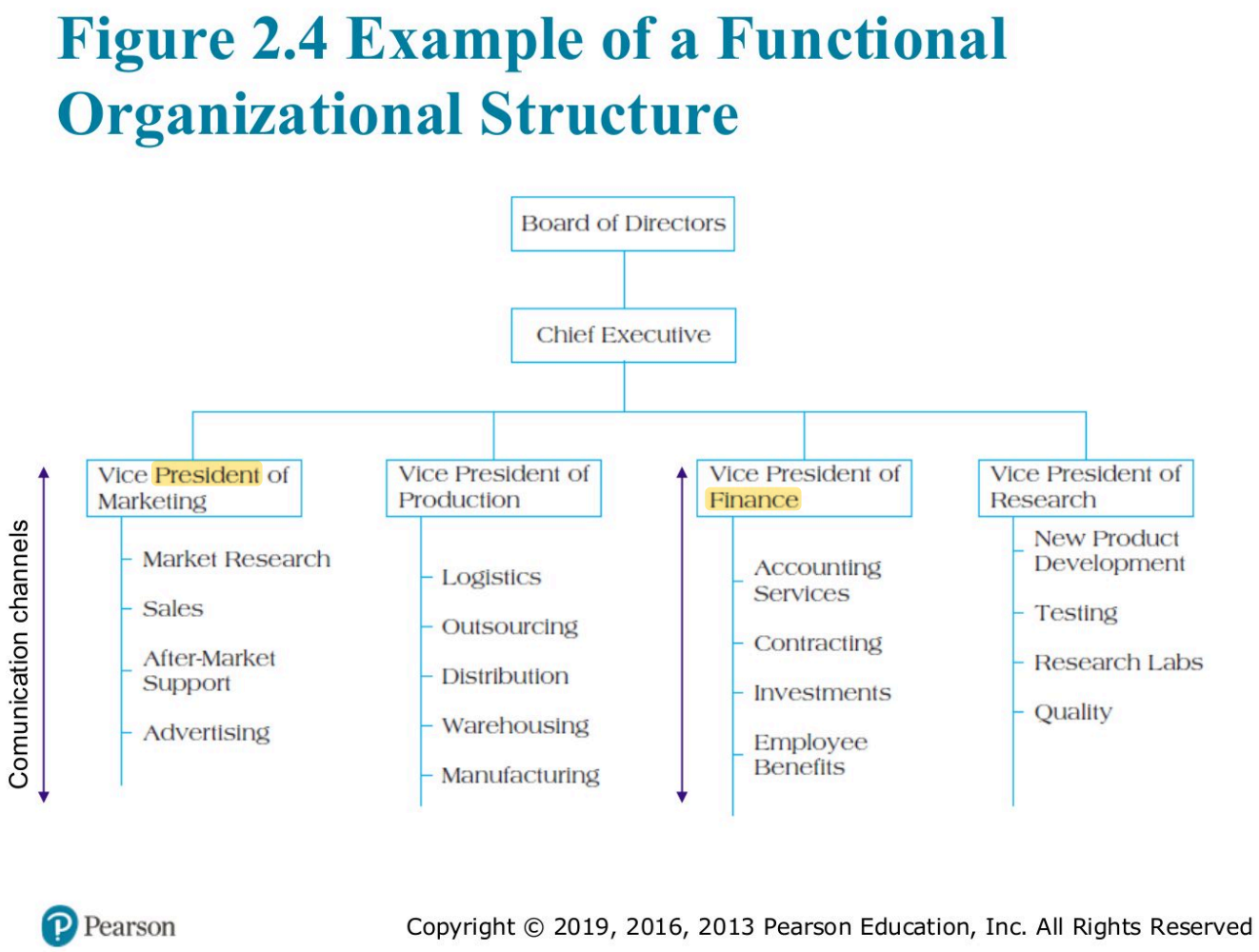
A People are grouped into project teams for temporary assignments

B Employees remain permanently grouped only by function

C All projects are managed by external suppliers

D Project managers have no authority over project teams

 Figure 2.4 A Functional Organizational Structure



NOTES

1. A **functional** structure: departments (engineering, manufacturing, marketing, finance, accounting) under the president, each with its own sub-units.
2. The vertical arrows show **communication channels running up and down inside each function**, not across. Coordinating a cross-functional project means going up one chain and down another, which is slow: the root of the silo weakness on the next slide.

 Table 2.2 Strengths and Weaknesses of

Table 2.2 Strengths and Weaknesses of Functional Structures

Strengths for Project Management	Weaknesses for Project Management
1. Projects developed within basic functional structure require no disruption or change to firm's design.	1. Functional **siloing** (unwillingness to consider alternative viewpoints, collaborate with other groups, etc.) makes it difficult to achieve cross-functional cooperation.
2. Enables development of in-depth knowledge and intellectual capital.	2. Lack of customer focus.
3. Allows for standard career paths.	3. Longer time to complete projects due to structural problems, slower communication, etc.
	4. Varying interest or commitment.

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NOTES

1. **Strengths for projects**. Projects run inside the existing structure, so there is **no disruption** to the firm's design.
2. It develops **in-depth knowledge** and intellectual capital within each function.
3. It allows **standard career paths**: people grow within their specialty.
4. **Weaknesses**. **Functional siloing**: unwillingness to consider other viewpoints or collaborate makes cross-functional cooperation hard.
5. **Lack of customer focus**: each function serves its boss, not the customer.
6. **Longer project times** (slower communication through the hierarchy) and varying interest or commitment, since the project is nobody's main job.

EXAM ANGLE

Prediction Q1

Which is a weakness of functional structures for project management?

A No disruption to the firm's design

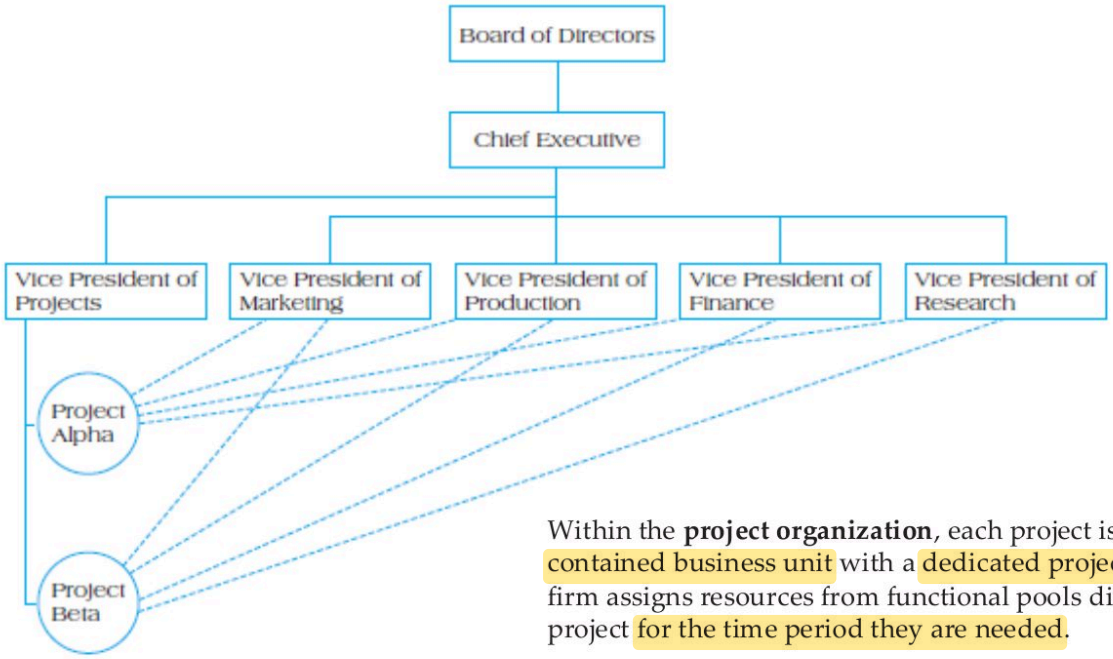
B Standard career paths

C **Functional siloing and lack of customer focus**

D In-depth knowledge development

SLIDE 13 / 25 **Project Organizational Structure**

Project Organizational Structure



Within the **project organization**, each project is a self-contained business unit with a dedicated project team. The firm assigns resources from functional pools directly to the project for the time period they are needed.

Project organizations are those that are set up with their exclusive focus aimed at running projects. Construction companies, large manufacturers such as Boeing or Airbus, pharmaceutical firms, and many software consulting and research and development organizations are organized as pure project organizations.

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NOTES

1. In a **project organization** each project is a **self-contained business unit** with a **dedicated team**.
2. The firm assigns resources from functional pools directly to the project **for as long as they are needed**.

3 Firms whose business is projects organize this way: **construction companies**, Boeing and Airbus, pharmaceutical firms, and many software consulting and R&D organizations.

 Table 2.3 Strengths and Weaknesses of

Table 2.3 Strengths and Weaknesses of Project Structures

Strengths for Project Management	Weaknesses for Project Management
1. Project manager sole authority	1. Expensive to set up and maintain teams
2. Improved communication	2. Chance of loyalty to the project rather than the firm
3. Effective decision making	3. Difficult to maintain a pooled supply of intellectual capital (contractors hired temporarily for the project then leave the organization)
4. Creation of project management experts	
5. Rapid response to market opportunities	4. Team member concern about future once project ends

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NOTES

1 **Strengths**: the **PM has sole authority** over the project.

2 **Improved communication** and **effective decision-making** inside a dedicated team, and the firm develops project-management experts.

3 **Rapid response to market opportunities**.

4 **Weaknesses**: **expensive** to set up and maintain dedicated teams.

5 Members may become **loyal to the project rather than the firm**, and pooled expertise is hard to keep (contractors leave when the project ends).

6 Members **worry about their future** once the project ends.

EXAM ANGLE

Prediction Q1

Which is a strength of the project organizational structure?

A Pooled expertise is easy to keep

B **The project manager has sole authority**

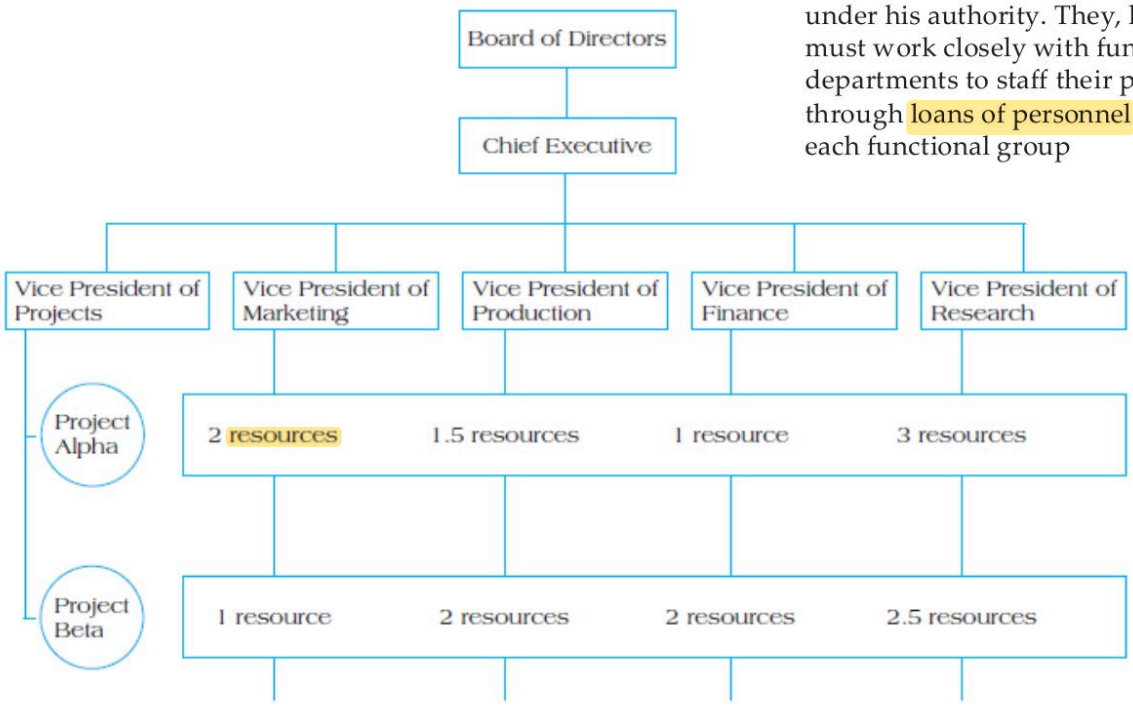
C It is cheap to set up

D Team members never worry about the future

SLIDE 15 / 25 **Figure 2.7 Example of a Matrix**

Figure 2.7 Example of a Matrix Organizational Structure

The vice president of projects controls the activities of the project managers under his authority. They, however, must work closely with functional departments to staff their project teams through loans of personnel from each functional group



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NOTES

1 A **matrix** structure. The **vice president of projects** controls the project managers (rows)...

2 ...but the PMs must work closely with the functional departments (columns) to staff their teams through **loans of personnel** from each function: the "2 resources", "1.5 resources" cells show how many people each department lends to each project.

 Table 2.4 Strengths and Weaknesses of

Table 2.4 Strengths and Weaknesses of Matrix Structures

Strengths for Project Management	Weaknesses for Project Management
1. Suited to dynamic environments	1. Dual hierarchies mean two bosses
2. Equal emphasis on project management and functional efficiency	2. Negotiation required in order to share resources
3. Promotes coordination across functional units	3. Workers caught between competing project and functional demands
4. Maximizes scarce resources	

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NOTES

1 **Strengths**: suited to **dynamic environments** (resources shift as projects change).

2 **Equal emphasis** on project management and functional efficiency.

3 It **promotes coordination** across functional units.

4 It **maximizes scarce resources**: a specialist can be shared across several projects.

5 **Weaknesses**: the dual hierarchy means **two bosses**, and workers get caught between competing project and functional demands.

6 **Negotiation** is needed to share resources between project and functional managers. "Two bosses" is never a strength.

EXAM ANGLE

Prediction Q1

What is the main weakness of the matrix structure?

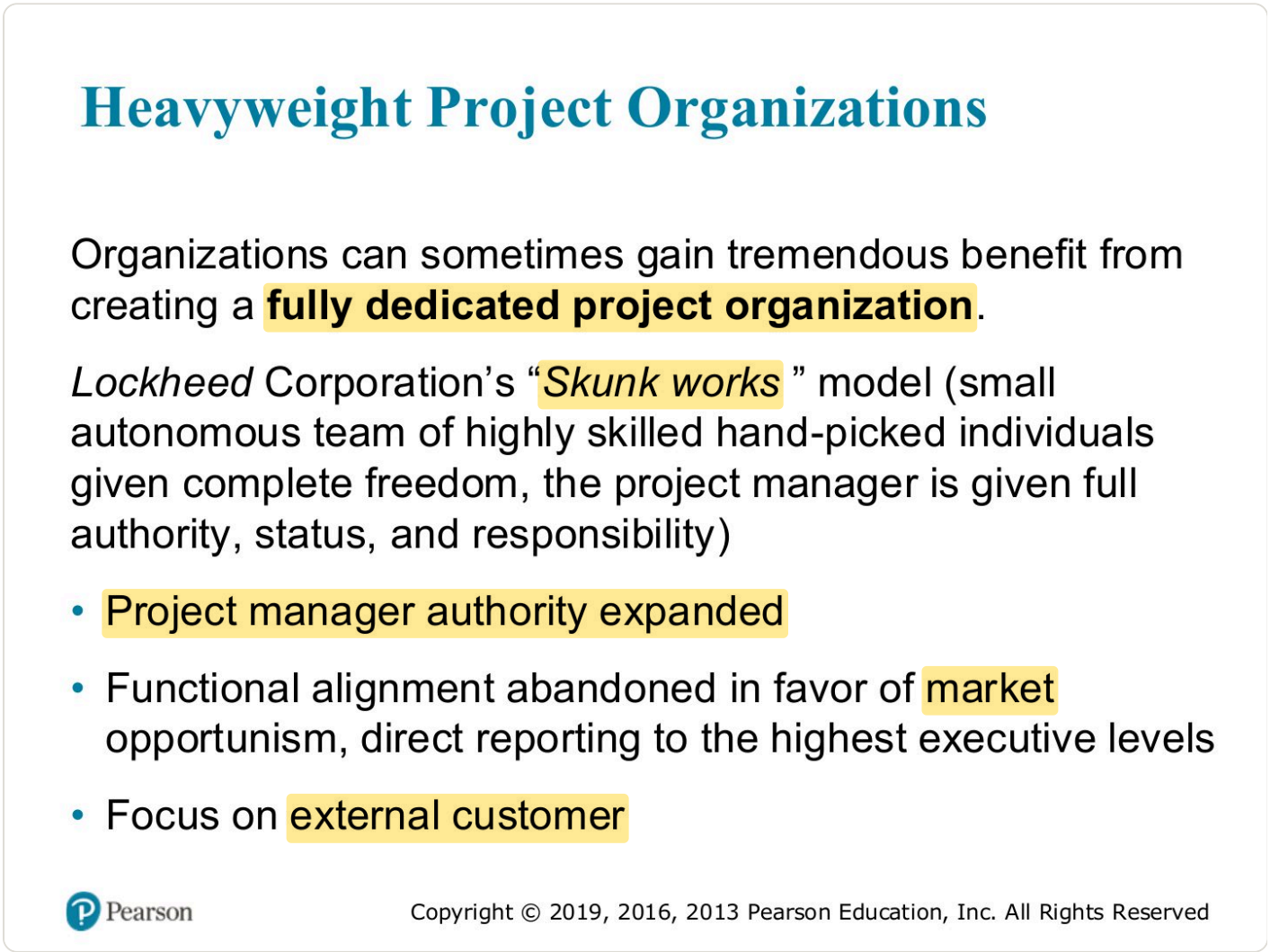
A It wastes scarce resources

B There is no coordination across units

C It is unsuitable for dynamic environments

D **The dual hierarchy gives workers two bosses**

SLIDE 17 / 25 **Heavyweight Project Organizations**



NOTES

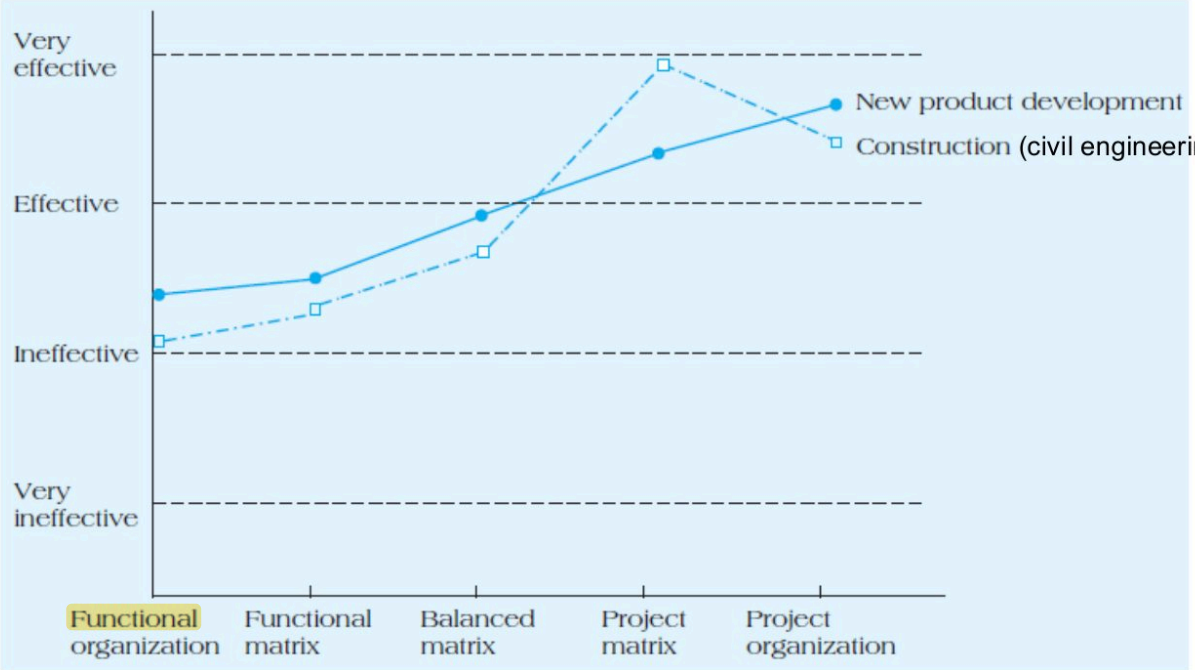
1 Organizations sometimes benefit from a **fully dedicated** project organization: a **heavyweight** project team.

2. Lockheed's **Skunk Works** model: a small, autonomous team of hand-picked, highly skilled people with complete freedom, and a PM with full authority, status and responsibility.
3. In heavyweight organizations **PM authority is expanded**...
4. ...functional alignment is abandoned in favour of **market** opportunism, with direct reporting to the top executives...
5. ...and the focus is on the **external customer**.

SLIDE 18 / 25

Figure 2.8 Perceived Effectiveness of Structures

Figure 2.8 Managers' Perceptions of Effectiveness of Various Structures on Project Success (survey study)

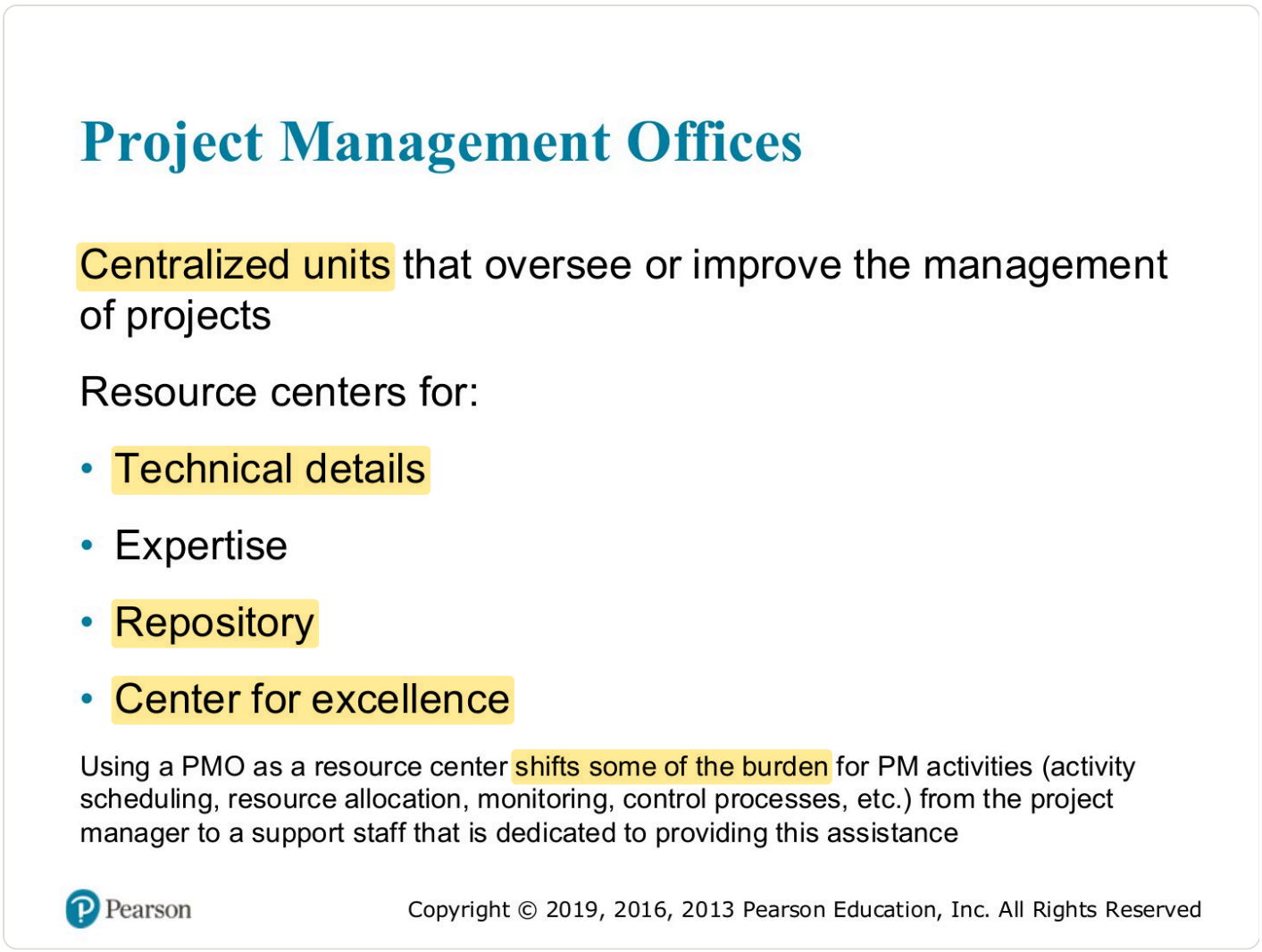


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NOTES

1. A survey of managers' perceptions of how effective each structure is for project success, from **functional** through functional matrix, balanced matrix and project matrix to **project team**.
2. The trend: the more project-oriented the structure, the more effective managers judge it for projects; for new product development the project matrix and project team score highest. (A survey result to understand, not to memorize.)

 Project Management Offices



NOTES

1. **Project management offices (PMOs)** are centralized units that oversee or improve the management of projects.
2. They act as resource centres for **technical details**, **expertise**, a **repository** (templates, lessons learned, past project data) and a **center of excellence** for PM practice.
3. A PMO **shifts some of the burden** of PM work (activity scheduling, resource allocation, monitoring and control) from the project manager to dedicated support staff.

EXAM ANGLE

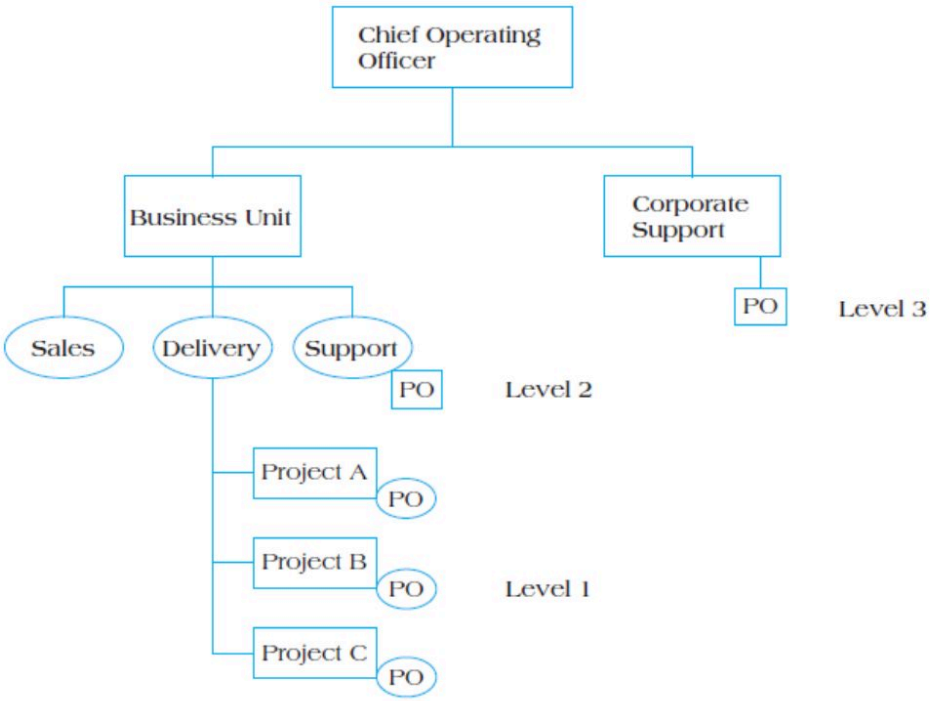
Past exam · Final 242 · Q1.3 — Q1

What is a Project Management Office (PMO) and its role in organizations?
Answer: A PMO is a centralized organizational unit that oversees and standardizes how projects are managed. It sets PM standards, methods and templates, trains and supports project managers, monitors and reports on project performance, and coordinates resources across projects. Its control ranges from supportive (consultative) to controlling (requires compliance) to directive (manages the projects directly).

 Alternative Levels of Project Offices

Alternative Levels of Project Offices

The PMO may be situated at a corporate level (Level 3), where it serves an overall corporate support function. It can be placed at a lower functional level (Level 2), where it serves the needs within a specific business unit. Finally, the PMO can be decentralized down to the actual project level (Level 1), where it offers direct support for each project.



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NOTES

1. A PMO can sit at three levels. **Level 3, corporate**: serves an overall corporate support function.
2. **Level 2, business unit**: serves the needs within one business unit or function.
3. **Level 1, project**: decentralized to the individual project, giving direct support. The numbering runs upward: Level 1 is the narrowest scope, Level 3 the widest.

EXAM ANGLE

Prediction Q1

A PMO that serves the needs within one specific business unit is at which level?

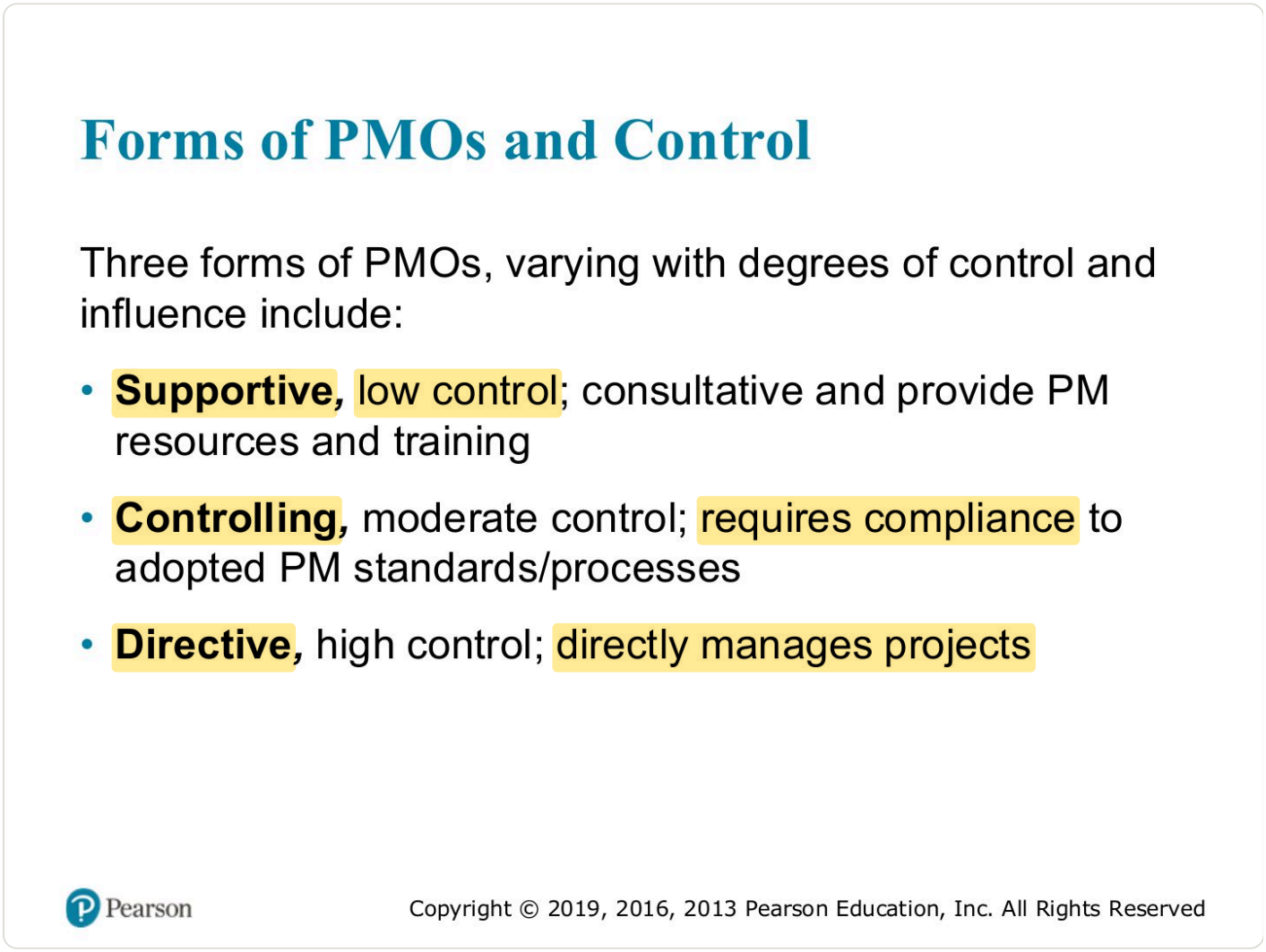
A **Level 2**

B Level 1

C Level 3

D Level 0

SLIDE 21 / 25 **Forms of P M O s and Control**



NOTES

1 Three **forms** of PMO, by how much control they exert. **Supportive** (low control): consultative; provides templates, best practices, training and access to information.

2. **Controlling** (moderate control): requires **compliance** with adopted PM standards, templates and processes, e.g. through audits.
3. **Directive** (high control): **directly manages** the projects; the PMs belong to it.

EXAM ANGLE

Prediction Q1

A PMO that requires projects to comply with its adopted standards and templates, but does not run the projects itself, is which form?

A Supportive

B Directive

C **Controlling**

D Resource pool

Models of PMOs

In addition to the forms of PMO and varying levels of control, there are three models of PMOs with various purposes for companies:

- **Weather station**—the PMO is typically used only as a monitoring and tracking device (management wants to keep an eye on the status of the projects without directly attempting to influence or control them)
- **Control tower**—project management is a skill to be protected and supported (focus on improving methodology and practices and help PM apply them)
- **Resource pool**—maintain and provide a cadre of skilled project professionals (supplying project managers and other skilled professionals to the company's projects)

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NOTES

1. Three **models** of PMO, by purpose (not to be confused with the forms, which are about how much control). **Weather station**: only **monitors and tracks** project status, without trying to influence or control projects.
2. **Control tower**: treats PM as a **skill to be protected and supported**; it improves methodology and practices and helps PMs apply them.
3. **Resource pool**: maintains and supplies a **cadre of skilled** project managers and professionals to the company's projects.

EXAM ANGLE

Prediction Q1

A consultancy keeps a bench of certified project managers and assigns them to client projects as needed. Which PMO model is this?

A Weather station

B Control tower

C Directive

D **Resource pool**

SLIDE 23 / 25 **Organizational Culture**

Organizational Culture

- The third key contextual variable in how projects are managed effectively is that of organizational culture
- Definition of culture: "**organization's culture** refers to the **unwritten rules of behavior**, or norms that are used to shape and guide behavior, that are shared by some subset of organizational members and that are taught to all new members of the company"
  - Unwritten (are often not written down)
  - Rules of behavior (guidelines as to how best to react to these events)
  - Held by some subset of the organization (may or may not be companywide)
  - Taught to all new members (New members of an organization pick up the behaviors as they observe others engaging in them)
- Ex: Company X has a strong supportive culture that emphasizes and rewards positive collaboration between functional groups.

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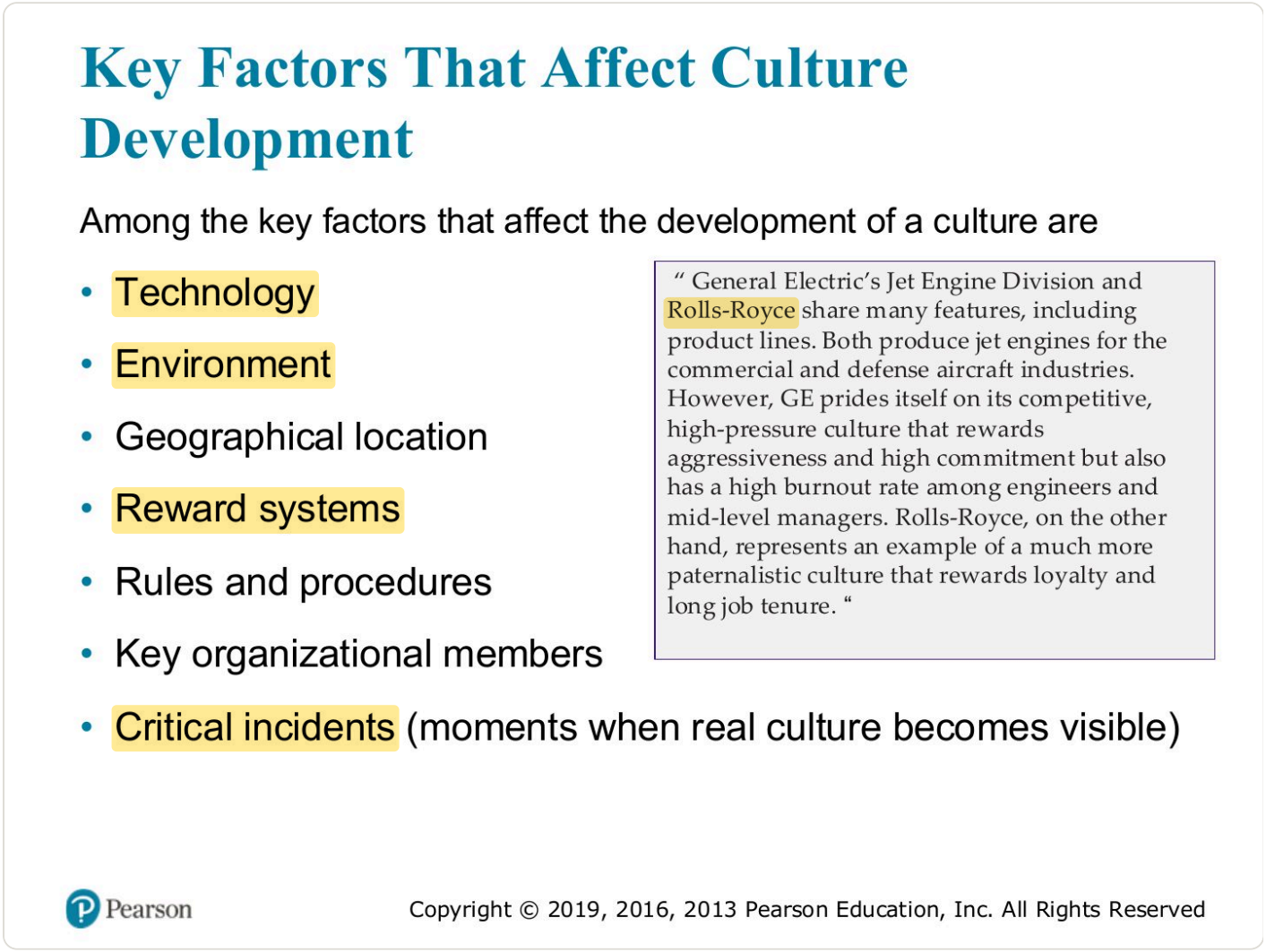
NOTES

1 The third contextual variable is **organizational culture**.

2. **Definition**: the **unwritten rules of behavior**, or norms, that shape and guide behavior, shared by some subset of organizational members and taught to all new members.

3. The four parts: **unwritten** (rarely written down); **rules of behavior** (how to react to events); **held by a subset** (not necessarily company-wide: engineering can have a different culture from sales); **taught to new members** (newcomers pick it up by watching others). Example: a culture that rewards collaboration between functional groups.

SLIDE 24 / 25 Key Factors That Affect Culture



NOTES

1. Factors that shape culture: **technology**, **environment** (the industry and market), geographical location...

2. ...**reward systems**, rules and procedures, and key organizational members. GE's jet-engine division and Rolls-Royce make the same product for the same markets, yet GE rewards aggressiveness and high commitment (with high burnout) while Rolls-Royce is paternalistic and rewards loyalty and long tenure, largely because of what each rewards.

3. **Critical incidents**: moments when the real culture becomes visible, e.g. how leadership reacts to a failed project.

Organizational Culture: Effects on Project Management

Organizational Culture: Effects on Project Management

Culture can affect project management in at least four ways:

- **Departmental interaction**: cultures that favor active cooperation between functional groups and new projects are much more successful than those that adopt a disinterested or even adversarial relationship
- **Employee commitment to goals**: A culture that promotes employee commitment and self-sacrifice through working extra hours or on multiple tasks is much more successful than a culture in which the unwritten rules seem to imply that there is nothing wrong with simply going through the motions, provided you don't get caught.
- **Project planning**: activity estimation is an imprecise process, it is common for team members to give wider estimates to give themselves as much time as possible. These people are often responding to a culture that reinforces the idea that it is better to engage in poor estimation and project planning than to be late. In the contrary: Culture of trust -> honest assessments.
- **Performance evaluation**: if organizations tacitly support caution and playing it safe, their project management approaches will equally reflect this principle

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NOTES

1. Culture affects project management in four ways. **Departmental interaction**: cultures where functions actively cooperate with projects succeed far more than disinterested or adversarial ones.
2. **Employee commitment to goals**: a culture of commitment (extra effort when needed) beats one where going through the motions is fine as long as you don't get caught.
3. **Project planning**: where lateness is punished, people pad their estimates to protect themselves; a **culture of trust** produces honest estimates.
4. **Performance evaluation**: if the organization quietly rewards caution and playing it safe, its projects will be cautious too.

EXAM ANGLE

Prediction Q1

Your team pads every estimate by 50% because missing a date is punished. Which effect of culture is this, and how would you address it?

Answer: Culture affecting project planning: a culture that punishes lateness reinforces inflated estimates. Build a culture of trust in which honest estimates are not punished, handle uncertainty openly with risk reserves, and estimates become realistic.

Original slides from the SE423 lecture deck, with study notes. Check exact wording against the original deck. Notes and questions are study aids. Made by Shoug Alomran.